The oilman who invests in SmithKline because his broker suggests it won't realize that patients have abandoned Tagamet and switched to a rival ulcer drug until the stock is down 40 percent and the bad news has been fully "discounted" in the price. "Discounting" is a Wall Street euphemism for pretending to have anticipated surprising developments.

On the other hand, the oilman will be among the earliest to observe the telltale signs of revival in the oil patch, a revival that will inspire Schlumberger's eventual comeback.

Though people who buy stocks about which they are ignorant may get lucky and enjoy great rewards, it seems to me they are competing under unnecessary handicaps, just like the marathon runner who decides to stake his reputation on a bobsled race.

THE DOUBLE EDGE

Here we've been talking about the oil executive and his knowledge, and lumping him and it together in the same chapter with the knowledge of the customers in the checkout line at Pep Boys. Of course it's absurd to contend that the one is equal to the other. One is a professional's understanding of the workings of an industry; the other is a consumer's awareness of a likable product. Both are useful in picking stocks, but in different ways.

The professional's edge is especially helpful in knowing when and when not to buy shares in companies that have been around awhile, especially those in the so-called cyclical industries. If you work in the chemical industry, then you'll be among the first to realize that demand for polyvinyl chloride is going up, prices are going up, and excess inventories are going down. You'll be in a position to know that no new competitors have entered the market and no new plants are under construction, and that it takes two to three years to build one. All this means higher profits for existing companies that make the product.

Or if you own a Goodyear tire store and suddenly after three years of sluggish sales you notice that you can't keep up with new orders, you've just received a strong signal that Goodyear may be on the rise. You already know that Goodyear's new high-performance tire is the best. You call up your broker and ask for the latest background information on the tire company, instead of waiting for the broker to call to tell you about Wang Laboratories.

Unless you work in some job that's related to computers, what good is a Wang tip to you? What could you possibly know that thousands of other people don't know a lot better? If the answer is "nada," then you haven't got an edge in Wang. But if you sell tires, make tires, or distribute tires, you've got an edge in Goodyear. All along the supply lines of the manufacturing industry, people who